



Accountability

Responsibility for economic policy is usually shared between a country's government and its central bank. By reporting their decisions to the public and to democratic institutions, they can be made more accountable to the people.

How it works

Democratic countries typically insist that governments report annually to their legislative bodies about their taxation and spending plans – their fiscal policy. The annual budget has become the central instrument of governments' economic policy, and its contents tend

to dominate the debate during national elections.

Before the 2008 crash, monetary policy – changing interest rates and influencing the money supply – had been increasingly left to central banks. However, since the crash, the policy, and the banking system's role in it, have been subject to more rigorous examination.

